

NIKE Inc.

Financial Ratio Analysis and Modeling

Financial Health (FY2023–2025)

Data Tables

(\$ in millions)

Item (from financial statements)	2023	2024	2025
Current assets	25,202	25,382	23,362
Current liabilities	9,256	10,593	10,566
Cash	7,441	9,860	7,464
Inventory	8,454	7,519	7,489
Total assets	37,531	38,110	36,579
Shareholders' equity	14,004	14,430	13,213
Net income — consolidated	5,070	5,700	3,219

Year	Current ratio	Quick ratio	Cash ratio	ROE	ROA	Equity multiplier/ Financial leverage
Formulas	Current ratio = Current Assets / Current Liabilities	Quick ratio = (Current Assets - Inventory) / Current Liabilities	Cash ratio = Cash and Equivalents / Current Liabilities	ROE = Net Income / Shareholders' Equity	ROA = Net Income / Total Assets	Equity multiplier = Total Assets / Total Shareholders' Equity
2023	2.7228	1.8094	0.8039	0.3620	0.1351	2.6800
2024	2.3961	1.6863	0.9308	0.3950	0.1496	2.6410
2025	2.2111	1.5023	0.7064	0.2436	0.0880	2.7684

Liquidity Ratios Analysis

1. Sufficiency of Current Assets to Cover Liabilities, Inventory Levels, and Cash Holdings:

NIKE's current ratio in 2025 is 2.21, indicating the firm holds more than twice the current assets needed to cover its current liabilities, sufficient for short-term obligations. The quick ratio of 1.50 (excluding inventories) remains above 1, suggesting good liquidity even without relying on inventory sales. However, the cash ratio of 0.71 shows reliance on other current assets beyond

just cash. Inventories represent about 32% of current assets (7,489 / 23,362), which is not excessive for a retail/apparel company but could indicate moderate inventory buildup if sales slow. Cash holdings are 32% of current assets (7,464 / 23,362), down from 39% in 2024, not too limited, but the decline suggests tighter cash management, possibly due to investments or repurchases.

2. Year-Over-Year Changes:

Current Ratio: Dropped from 2.72 (2023) to 2.40 (2024) to 2.21 (2025), a 19% decline over two years.

Quick Ratio: Fell from 1.81 (2023) to 1.69 (2024) to 1.50 (2025), a 17% drop.

Cash Ratio: Rose from 0.80 (2023) to 0.93 (2024) but fell to 0.71 (2025), a 12% drop from 2023.

3. Implications for Short-Term Operational Stability:

Declining ratios indicate reduced liquidity, driven by lower current assets and stable liabilities. However, ratios remain healthy (current >2, quick >1), ensuring short-term operational stability, though tighter cash (0.71) suggests cautious management amid revenue declines (\$51.4B in 2024 to \$46.3B in 2025).

Profitability Ratios Analysis

1. Change in ROE:

ROE increased from 36.2% (2023) to 39.5% (2024) but dropped to 24.4% (2025), a 15.1 percentage point decline from 2024.

2. Reasons for ROE Change (DuPont Disaggregation):

$ROE = ROA \times \text{Equity Multiplier}$.

The 2024–2025 ROE drop (39.5% to 24.4%) is driven by a sharp ROA decline (15.0% to 8.8%), reflecting lower net income (\$5,700M to \$3,219M).

A slight increase in leverage (2.64 to 2.77) mitigated the fall. No significant noncontrolling interest impact, as net income is fully attributable to NIKE.

3. Decomposition Insights:

ROE fell 15.1 points due to weaker ROA (lower profitability). Increased leverage (2.77) partially offset this but signals higher financial risk if profitability remains low.

ROE rose from 2023 → 2024 mainly because NIKE earned higher profits (ROA).

ROE fell in 2025 because profitability collapsed (ROA down), even though leverage slightly increased.

Growth Rates (2025)

$$\begin{aligned}\text{Retention Ratio (b)} &= 1 - (\text{Dividends} / \text{Net Income}) \\ &= 1 - (2,300 / 3,219) \\ &= 0.285.\end{aligned}$$

1. Internal Growth Rate (No New Debt):

$$\begin{aligned}\text{IGR} &= (\text{ROA} \times b) / (1 - \text{ROA} \times b) \\ &= (0.088 \times 0.285) / (1 - 0.088 \times 0.285) \\ &= 0.0251 / 0.9749 \\ &\approx 2.6\%\end{aligned}$$

Max growth rate without issuing new debt or equity.

This modest rate reflects limited retained earnings, suitable for NIKE's mature status but constraining growth without external funds.

2. Sustainable Growth Rate (No Capital Structure Change):

$$\begin{aligned}\text{SGR} &= (\text{ROE} \times b) / (1 - \text{ROE} \times b) \\ &= (0.244 \times 0.285) / (1 - 0.244 \times 0.285) \\ &= 0.0695 / 0.9305 \\ &\approx 7.5\%\end{aligned}$$

Max growth rate without changing capital structure (firm can issue debt in proportion to equity).

This higher rate leverages existing debt-equity mix, supporting moderate growth while maintaining shareholder returns.